

Future Employment Support (FES) update

As of 19 August 2026, the Government's Future Employment Support (FES) programme is shaping up to be the major successor to the current large-scale DWP contracted employment support provision, particularly following the end of the Restart Scheme. It is important, however, to distinguish FES itself from employment funding that is already being devolved through Integrated Settlements.

FES is not currently confirmed as being included within Integrated Settlements. The Government has committed to co-designing FES with Mayoral Strategic Authorities, but the programme is currently being procured by DWP as a national DWP service.

Government policy says it will explore whether future employment support funding could be devolved through Integrated Settlements, but there is no current commitment that FES funding will be transferred into them.

That distinction is particularly important for Mayoral Combined Authorities

1. What is Future Employment Support?

FES is a planned new DWP employment support service for people receiving Universal Credit and out of work.

DWP describes it as personalised employment support which will be responsive to both individual circumstances and local labour markets. It is intended to provide a much broader package than simply job-search assistance.

The proposed service includes:

- ✓ employability skills and training
- ✓ work experience
- ✓ job trials
- ✓ job fairs
- ✓ employer brokerage
- ✓ intensive CV and application support
- ✓ interview preparation
- ✓ self-employment support
- ✓ support to manage health conditions in work
- ✓ travel support
- ✓ childcare support
- ✓ specialist support such as ESOL
- ✓ support around addiction
- ✓ neurodiversity-related support
- ✓ wider help to overcome complex barriers to employment

This makes FES potentially significant for the employability sector because it is intended to bring together employment, skills, health and wider barrier support, rather than operating purely as a conventional job-search programme.

2. Who will FES support?

The currently published model identifies four principal groups.

Group	Proposed Access
Long-term unemployed people aged 25+	Mandatory participation after 12 months on UC
Young people aged 18–24	Mandatory participation after 6 months on UC
Lone parents and lead carers	Voluntary participation at any point in UC claim
Disadvantaged groups	Voluntary participation at any point in UC claim

The disadvantaged category is wide-reaching, as it explicitly includes people such as:

- ex-offenders
- people serving community sentences
- ex-carers
- people experiencing or at risk of homelessness
- veterans
- people with current or previous drug/alcohol dependency
- care leavers
- refugees
- victims of domestic abuse
- young people involved in or at risk of serious violence
- victims of modern slavery

3. How big is the programme?

The current procurement estimate is approximately:
£1.2 billion, with an indicative 395,000 starts

The current procurement is structured around a three-year referral period, with an option for a further two years.

The indicative contract period is:

1 February 2028 – 31 January 2031, with a potential extension to 31 January 2033.

Importantly, DWP has stressed that the programme's budget, final design, contract length and dates remain subject to internal approvals and could change.

4. FES is not simply a replacement for Restart

There is a clear relationship between the programmes, but FES is not just "Restart 2".

Restart referrals were due to finish in June 2026 following the two-year extension. The Government subsequently confirmed that it would maintain employment support for long-term unemployed people and develop a new future employment service.

Parliament was told in June 2026 that the new service would cover the four groups specified above, with an expected February 2028 go-live.

The design therefore appears to be broader than Restart, particularly through: health + skills + employment + employer engagement + specialist/complex-needs support.

5. The FES timeline

There are effectively three stages: policy development, procurement and implementation. Policy and market engagement in 2026 has been as follows:

April 2026	DWP published the initial procurement pipeline notice
June 2026	DWP published the further preliminary market engagement notice. The estimated value was put at £1.2bn.
June/July 2026	DWP held market engagement events with providers. The procurement information confirms that DWP is using market engagement to develop the eventual specification.
Autumn 2026	Further market engagement and co-design work is expected.

The current timetable indicates formal procurement beginning in November 2026

6. 2027 procurement

The indicative procurement timetable currently being circulated gives approximately the following sequence:

Date	Activity
26 Nov 2026	Stage 1 submission opens
18 Dec 2026	Stage 1 submission closes
3 Feb 2027	Stage 2 submission
24 Feb 2027	Stage 2 closes
19 Mar – 6 May 2027	Commercial dialogue
13 May 2027	Final ITT
13 May – 14 Jun 2027	Final/BAFO submissions
30 Jul 2027	Evaluation complete
23 Sep 2027	Contract award notice
5–19 Oct 2027	Contracts signed
7 Feb 2028	Service goes live

This timetable is indicative rather than legally fixed, but it gives providers and local government a good indication of the intended programme trajectory.

7. What happens between 2027 and February 2028?

This is an important period, where there will need to be mobilisation, recruitment, referral arrangements, Jobcentre Plus (by then the JCS Jobs & Careers Service) integration, employer engagement, local labour-market planning, partnership development, subcontracting, data-sharing arrangements, digital/system integration, performance management modelling, local co-design; and commissioning of specialist provision.

Consequently, 2027 will be a particularly important year for VCSE organisations, local authorities and employability providers seeking a role in FES.

The procurement is explicitly being positioned as suitable for SMEs and VCSE organisations. There is also an indicative requirement for at least 25% of contract value to go to SME subcontractors, alongside a DWP aspiration for 40% spend with VCSEs and SMEs.

8. The payment model

The emerging model is also significant, as the current market information indicates:

- 70% Payment by Results
- 30% Service Fee

There is also an intention for 70% of the service fee to be paid during the first 24 months.

This is clearly intended to provide providers with greater upfront funding than a pure PBR model, while retaining a substantial outcome-based element.

For smaller VCSE organisations, however, the prime/subcontracting structure will remain important because they may otherwise struggle with cash flow and PBR exposure.

9. The really important issue — devolution

This is where FES becomes particularly interesting.

The Government's English Devolution White Paper established a new framework for employment support.

It distinguishes between:

- A. Core Jobcentre Plus provision, which remains a DWP responsibility.
- B. Additional employment support, where Mayoral Strategic Authorities are being given a progressively greater role in co-design, local integration, commissioning/delivery where appropriate; and potentially funding.

The Government specifically committed to giving Mayoral Strategic Authorities a substantive role in co-designing future non-Jobcentre Plus employment support.

10. What is already going into Integrated Settlements?

This is where there is a very important distinction.

The Government has explicitly said that certain employment and skills funding will form part of Integrated Settlements.

For Established Mayoral Strategic Authorities this includes, among other things, adult skills and The Adult Skills Fund. Free Courses for Jobs and Skills Bootcamps are being consolidated/un-ringfenced.

The English Devolution White Paper explicitly states that supported employment funding will form part of the Integrated Settlement for Established Mayoral Strategic Authorities

That is fundamentally different from FES.

11. So — is FES going into the Integrated Settlement?

Currently: No confirmed commitment.

This is the key conclusion from the available evidence.

The Government's stated position is that Mayoral Strategic Authorities will have a role in co-designing future employment support, but the Government has not said that the FES budget itself will automatically become part of Integrated Settlements. In fact, the English Devolution White Paper was quite carefully worded.

It says Government would:

Explore ahead of the next Spending Review whether there is scope for devolution of relevant funding as part of Integrated Settlements.

12. Why the distinction matters

The current FES procurement is being undertaken by Department for Work and Pensions

It is currently being procured as a national DWP service, covering England and Wales, with the England procurement being taken forward under the FES opportunity.

The proposed contract is therefore not currently a devolved Integrated Settlement programme.

Instead, the model appears to be:

DWP funding



DWP procurement



National/contract package area provision



Local labour-market integration



Co-design with Mayoral Strategic Authorities
rather than:

Integrated Settlement



Mayoral Strategic Authority



Local commissioning

13. An important caveat

Compass Consult would not conclude that FES will never be devolved.

There is a clear policy trajectory towards greater local control.

The Government has already said:

Mayors will co-design future employment support, Established Mayoral Strategic Authorities will have a substantive role in design and delivery, subject to conditions and that Government will explore whether relevant future employment funding can be incorporated into Integrated Settlements.

Therefore, the more accurate assessment is:

2026–28

FES remains fundamentally a DWP-controlled national programme, albeit heavily co-designed with Mayoral Strategic Authorities.

2028 onwards

Mayors/Strategic Authorities have a significant role in local implementation and integration.

Future Spending Review / subsequent devolution settlements

There is potential for some or all relevant future employment funding to be devolved. But there is no current confirmation that FES itself will be transferred into Integrated Settlements.

14. What could eventually happen with Integrated Settlements?

Scenario 1 — FES remains national

DWP continues to commission FES nationally through CPAs, while Mayoral Strategic Authorities co-design and influence delivery.
This is the most certain scenario based on today's evidence.

Scenario 2 — FES remains national, but funding becomes increasingly aligned

The DWP retains contractual responsibility but gives Strategic Authorities stronger influence over volumes, priorities, local performance, provider configuration, specialist provision and labour-market priorities.
This may be the most likely medium-term model.

Scenario 3 — Future employment support becomes part of Integrated Settlements

At a future Spending Review, Government could decide that employment funding should follow the same trajectory as adult skills and supported employment. That could ultimately mean Strategic Authorities receiving a broader employment settlement and commissioning provision themselves.

Government policy explicitly leaves this possibility open.

19. Current Compass Assessment

FES is "devolution-ready", but not currently "devolved".

The Government is deliberately designing FES around:

national funding + local labour markets + Mayoral co-design + local integration.

That creates a pathway towards eventual devolution without committing Government to handing over the £1.2bn programme immediately.

There is also a practical reason for this.

FES is not due to start until February 2028. Government therefore has time between now and then to procure the national service, test the co-design model, build Strategic Authority capacity, assess performance, develop the next generation of Integrated Settlements and potentially revisit the funding model at a subsequent Spending Review.

20. Key implications for employability providers

For providers, the biggest opportunity is not simply bidding for FES. Providers should be positioning themselves around the emerging local employment ecosystem.

That means demonstrating capability in:

Employment + Skills + Health + Employer Engagement + Complex Needs + Local Labour Markets.

The strongest organisations are likely to be those that can demonstrate:

- ✓ credible local employer relationships;
- ✓ strong referral networks;
- ✓ specialist VCSE partnerships;
- ✓ health and wellbeing capability;
- ✓ skills provision;
- ✓ experience with disadvantaged groups;
- ✓ sustained employment outcomes;
- ✓ effective data and performance management;
- ✓ ability to work within a PBR environment; and
- ✓ genuine local labour-market intelligence.

The FES procurement's emphasis on SMEs and VCSE subcontracting is particularly significant here.